

CARE

RATING RATIONALE

Entity: Omega Logistics & Supply Chain Pvt Ltd

Rating: BBB/Stable

Date: November 15, 2024

Instrument	Size (■ Cr)	Rating
Long-term Bank Facilities	165.00	BBB/Stable
Short-term Bank Facilities	65.00	A3

RATING DRIVERS

Key Strengths:

- Presence in essential infrastructure segment with government spending support
- Established execution capability in project delivery

Key Weaknesses / Rating Sensitivities:

- High leverage with debt/equity above sector comfort levels
- Thin profitability with PAT margins under pressure
- Negative free cash flow requiring continued external funding
- Working capital elongation leading to liquidity stress
- Watch Negative reflects risk of further deterioration if cash flows don't improve
- Rating downgrade if D/E exceeds 4.0x or ICR falls below 1.0x

FINANCIAL SUMMARY

Parameter	FY2024	FY2023
Revenue (■ Cr)	320.00	275.00
EBITDA Margin (%)	20.9	20.8
PAT Margin (%)	5.7	5.6
Debt/Equity (x)	1.48	1.39
Interest Coverage (x)	2.31	2.29

Analyst: Rating Team, CARE

Disclaimer: This rating is not a recommendation to buy, sell or hold.